

ECON

Macroeconomics

Module 2, 2023

Course Information

Instructor: Marshall Urias

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Office Hour: Wednesday & Friday 2:00 – 3:00pm

Classes:

Lectures: Tuesday & Friday 1:30 – 3:20pm

Venue: PHBS Room 231

1. Course Description

1.1 Context

Course overview: This is an intermediate-level course in macroeconomics. We discuss the measurement of national output, inflation, and interest rates as well as develop economic theories to explain the relationship between these variables. In the first part of the course we develop a long-run perspective on the economy emphasizing capital and technology as the source of sustainable growth in GDP. We then build a model of the labor market where unemployment is an equilibrium phenomena arising from a dynamic process of job creation and job destruction. In the second part of the course pay attention to inflation and interest rates and discuss how the central bank can adjust these variables to influence real economy. In the final part of the course we develop a short-run perspective where the central bank has policy objectives that react to the state of the macroeconomy, which is subject to random shocks. This model captures key dynamics between central bank interest rate adjustments, inflation dynamics, and business cycle fluctuations in real GDP.

1.2 Textbooks and Reading Materials

There is no required textbook for this class, however you may find the following textbooks useful:

- Charles Jones. *Macroeconomics*. 4th edition.
- Olivier Blanchard. *Macroeconomics*. 7th edition.
- Gregory Mankiw. *Macroeconomics*. 9th edition

In addition to the textbooks above, I may assign readings from academic journals, editorials, news outlets and other interesting readings related to international trade. Learning Outcomes

2.1 Intended Learning Outcomes

Learning Goals	Objectives	Assessment (YES with details or NO)
1. Our graduates will be effective communicators.	1.1. Our students will produce quality business and research-oriented documents.	NO
	1.2. Students are able to professionally present their ideas and also logically explain and defend their argument.	

2. Our graduates will be skilled in team work and leadership.	2.1. Students will be able to lead and participate in group for projects, discussion, and presentation.	YES – engage in group work during class which may include worksheets, discussions, or presentations
	2.2. Students will be able to apply leadership theories and related skills.	NO
3. Our graduates will be trained in ethics.	3.1. In a case setting, students will use appropriate techniques to analyze business problems and identify the ethical aspects, provide a solution and defend it.	NO
	3.2. Our students will practice ethics in the duration of the program.	YES – students are always expected to adhere to high standards of ethics and honesty related to coursework
4. Our graduates will have a global perspective.	4.1. Students will have an international exposure.	YES – curriculum is international trade
5. Our graduates will be skilled in problem-solving and critical thinking.	5.1. Our students will have a good understanding of fundamental theories in their fields.	YES – students will learn both classical theories and more recent work in international trade and policy
	5.2. Our students will be prepared to face problems in various business settings and find solutions.	YES – discuss the costs/benefits of international trade and the organization of businesses within a global market
	5.3. Our students will demonstrate competency in critical thinking.	YES – problem sets, exams, and in-class learning activities require to students to use the frameworks discussed in class to analyse new problems

2.2 Course specific objectives

1. Measure the flow of goods, services, and assets between nations.
2. Explain the key determinants of cross-country differences in income.
3. Measure the sources of long-run economic growth
4. Measure the flows from job creation and job destruction.
5. Define equilibrium unemployment and predict how it responds to changes in the labor market
6. Identify the sources of long-run rate of inflation and define how economists measure money in the economy.
7. Define a yield curve and explain how the term structure of interest rates is influenced by the central bank.
8. Describe how the central bank intervenes in the macroeconomy and what policy objectives it has in mind.
9. Predict the response of the macroeconomy to (i) price shocks, (ii) aggregate demand shocks, and (iii) changes to central bank policy objectives.

2.3 Assessment/Grading Details

Your final grade is a weighted average of your performance in the following categories:

Homework 20%
Learning Activities 20%
Midterm Examination 30%
Final Examination 30%

Please refer to the course calendar for due dates and the examination date.

Learning Activities: Most weeks you are expected to participate in a learning activity. These may include worksheets, group discussion, outside readings, quizzes etc. These activities are intended to help you understand and work with the material presented during lecture. They are meant to be collaborative so please be prepared to engage in group work. Your work will be submitted the same day the activity is completed in class.

Homework: There are two homework assignments throughout the module. Assignments will include both analytical problems and data-driven work. You are expected to collect and analyze trade data procured from publicly available sources. These assignments will be rather lengthy so you should plan accordingly. Homework should be submitted at the beginning of class on the due date. Late submissions delivered before the end class will receive a 10% penalty. Late submissions delivered within 24 hours will receive a 50% penalty. No credit will be given for any submissions delivered after 24 hours.

Examinations: Exams are a combination of multiple-choice and short-answer questions worth 100 points. The midterm exam will evaluate your understanding of material covered in the first half of the course, while the final exam will focus on the second half of the course.

Grade Changes: For examinations only, you are allotted one week to submit a written petition for a grade change. In the petition, you must specify the question(s) you are debating, the reason(s) you lost points, and why you think the grade assigned was incorrect. I will not entertain any requests made after the one-week deadline. Final course grades may not be petitioned. Course Communication: Course communication will be conducted mostly through the TA using WeChat and CMS. Any direct correspondence with me should be done via email or during office hours.

2.4 Academic Honesty and Plagiarism

It is important for a student's effort and credit to be recognized through class assessment. Credits earned for a student work due to efforts done by others are clearly unfair. Deliberate dishonesty is considered academic misconducts, which include plagiarism; cheating on assignments or examinations; engaging in unauthorized collaboration on academic work; taking, acquiring, or using test materials without faculty permission; submitting false or incomplete records of academic achievement; acting alone or in cooperation with another to falsify records or to obtain dishonestly grades, honors, awards, or professional endorsement; or altering, forging, or misusing a University academic record; or fabricating or falsifying of data, research procedures, or data analysis.

All assessments are subject to academic misconduct check. Misconduct check may include reproducing the assessment, providing a copy to another member of faculty, and/or communicate a copy of this assignment to the PHBS Discipline Committee. A suspected plagiarized document/assignment submitted to a plagiarism checking service may be kept in its database for future reference purpose.

Where violation is suspected, penalties will be implemented. The penalties for academic misconduct may include: deduction of honour points, a mark of zero on the assessment, a fail grade for the whole course, and reference of the matter to the Peking University Registrar.

For more information of plagiarism, please refer to *PHBS Student Handbook*.

2.5 Classroom Behavior

I expect all students to be professional and courteous during classes. As part of this, you should not use computers, phones, or any other electronic devices during class. I will print and distribute all slides beforehand, so there is no reason you will need to use electronics. Also, audio and video recording is strictly prohibited. You are forbidden from taking pictures unless given explicit permission

Topics, Teaching, and Assessment Schedule

<i>Date</i>	<i>Material</i>	<i>Textbook Chapters/Papers</i>	<i>Due Dates</i>
Week 1 (11/14)	Introduction		
	Measuring the Size of the Economy	J1, 2; M2, 3	
Week 2 (11/21)	Determinants of Long-Run Growth	J3, 4	
Week 3 (11/28)	Solow Growth Model	J5; M7, 8; B10, 11, 12	
Week 4 (12/5)	Equilibrium Unemployment	J7	
Week 5 (12/12)	Money, Inflation, and Interest Rates	J8; M4	Homework 1 – December 12
Week 6 (12/19)	Midterm Exam – December 15		
Week 7 (12/26)	Aggregate Demand and Phillip’ Curve	J9, 11, 12; B3, 5, 8	
	Central Bank Policy		
Week 8 (1/2)	Short-Run Model of Macro Dynamics	J13, 14; B9	
Week 9 (1/9)	Review		Homework 2 – January 12
	Final Exam: TBA		